

Effective Labor Rate — Revenue Recovery

What an hour at \$170 instead of \$139 brings back.

INPUTS

PRODUCTIVE TECHS 9	BILLED HRS / TECH / WEEK 32	WORKING WEEKS / YEAR 50
CURRENT RATE \$139	PROPOSED RATE \$170	ANNUAL BILLED HOURS 14,400

REVENUE RECOVERY — SAME WRENCHES, SAME BAYS		
ADDED / MONTH \$37,200	ADDED / YEAR \$446,400	ADDED MARGIN ~95%

Current revenue @ \$139 (14,400 hrs)	\$2,001,600
Proposed revenue @ \$170	\$2,448,000
Recovered gross margin / year	+ \$446,400

BOTTOM LINE

The rate increase carries almost no added cost — no extra parts, labor, or bay time. It's the highest-margin lever on the board.

The added revenue is simply your billed hours x the \$31 rate increase. Calculated exactly to the penny; replace inputs with live shop data before commitment.

Tekmetric ROI — Days to Payback

Conservative, labor-recovery only. Consumables counted once in the Shop Supplies model, so nothing is double-counted.

INPUTS

COST / LOCATION / MONTH

\$500

LOCATIONS

3

SYSTEM COST / MONTH (EST.)

\$1,500

PRODUCTIVE TECHS

9

LOST HRS / TECH / WEEK

1.0

LABOR RATE · WEEKS

\$139 · 50

IT PAYS FOR ITSELF IN THE FIRST WEEK AND A HALF OF EVERY MONTH

DAYS TO PAYBACK

8.6

RETURN / \$1 SPENT

\$3.48

BREAK-EVEN

10.8 hrs/mo

Recovered unbilled labor / year

+ \$62,550

Tekmetric system cost / year

− \$18,000**Net annual gain****+ \$44,550**

BOTTOM LINE

Paper got the shops this far — a system captures the work paper can't, and pays for itself by the 9th. Not counted here, all upside: idle-bay recovery, faster collections, and the PA-compliant audit trail.

Based on recovering just 1.0 lost hour per tech per week — on paper it's easy to miss the last 0.2 hours of diag or cleanup. Capturing that time alone covers the system's monthly cost by the 9th of every month; everything else — idle-bay recovery and faster collections — is pure upside.

Shop Supplies Fee — Margin & Goodwill

Recover consumables automatically while giving away the \$3 top-offs.

INPUTS

REPAIR ORDERS / MONTH 600	AVG LABOR / RO \$278	CONSUMABLES / RO \$12
FEE — % OF LABOR 7.0%	HARD CAP / RO \$40	BREAK-EVEN FEE % 4.3%

NET MARGIN AFTER RECOVERING CONSUMABLES COST		
NET / REPAIR ORDER \$7.46	NET / MONTH \$4,476	NET / YEAR \$53,712

Fee charged / RO (7% of \$278, under cap)	\$19.46
Consumables cost recovered / RO	— \$12.00
Net margin / RO	+ \$7.46

BOTTOM LINE
A small structural fee protects the margin and the relationship at the same time. No capital — the system applies it automatically.